

**Before the
Federal Maritime Commission**

Docket No. 25-03

**EUROMARKET DESIGNS, INC. v.
MSC MEDITERRANEAN SHIPPING COMPANY SA, OCEAN NETWORK EXPRESS
PTE. LTD., EVERGREEN LINE JOINT SERVICE AGREEMENT (FMC#011982),
EVERGREEN MARINE CORP. (TAIWAN) LTD., EVERGREEN MARINE (UK)
LIMITED, ITALIA MARITTIMA SpA, EVERGREEN MARINE (HONG KONG) LTD.,
EVERGREEN MARINE (SINGAPORE) PTE. LTD., HMM COMPANY LIMITED,
MAERSK A/S, CMA CGM S.A., APEX MARITIME CO, INC., CHINA UNITED
TRANSPORT, INC., COSCO SHIPPING LINES CO., LTD., AND WAN HAI LINES
LTD.**

MOTION TO SEVER

Pursuant to Federal Maritime Commission (“Commission”) Rules 12, 69, and 70, 46 C.F.R. §§ 502.12, 502.69, 502.70, *inter alia*, and Federal Rules of Civil Procedure Rules 20 and 21, Respondent COSCO Shipping Lines Co., Ltd. (“Respondent” or “COSCO”) hereby moves to sever the claims against COSCO as set forth in Complainant Euromarket Designs, Inc. (“Euromarket”) Complaint (“Complaint”). For the reasons set forth herein, such claims should proceed separately as to COSCO (and as to each individual respondent).¹

¹ In its Opposition to COSCO’s Motion for Enlargement of Time, Complainant objected to COSCO’s right to “otherwise move.” The FMC Rules do not preclude a party from filing a dispositive motion at any stage during a Proceeding. *See, e.g.* FMC Rule 69(f). COSCO therefore does not consider its late-filed Answer in this Action precludes it from the right to file a Motion to Sever. Complainant also will not be prejudiced by the timing of COSCO’s motion given the procedural posture of the case, and the fact that service of the Complaint has evidently still not been made on one party to the action, China United Transport, Inc. *See* Complainant’s February 25, 2025 “Letter to the Secretary Regarding Service of CU Lines” (an entity unrelated to Respondent China United Lines. Ltd. was served with the Complaint for CU Lines and Complainant has requested the Commission re-serve the correct entity). Further, the ALJ has not yet ruled on ONE’s Motion to Sever (Dkt. No. 30), or on Motions to Stay, for Filing of an Amended

I. INTRODUCTION

Treatment of Complainant's wholly-unrelated claims against ten unrelated carriers in one suit is inappropriate because Complainant's claims do not satisfy Federal Rule of Civil Procedure 20(a)'s requirement for permissive joinder that each claim arise from the same transaction or occurrence, or series of transactions or occurrences.² Even assuming arguendo that Complainant's claims satisfied Rule 20(a), severance under Rule 21 would be necessary to avoid prejudicing the rights of COSCO to a fair proceeding. Put simply, given the individualized nature of Complainant's relationship with each named Respondent, Complainant should be required to file a separate Complaint against each Respondent setting forth its individual cause(s) of action.

In its Complaint, Complainant asserts separate claims on behalf of itself and various affiliates regarding separate alleged breaches of separate service contracts by at least ten separate ocean common carriers – MSC Mediterranean Shipping Company SA (“MSC”), Ocean Network Express Pte Ltd. (“ONE”), Evergreen Line Joint Service Agreement (FMC #011982), Evergreen Marine Corporation (Taiwan) Ltd., Evergreen Marine (UK) Limited, Italia Marittima SpA, Evergreen Marine (Hong Kong) Ltd., Evergreen Marine (Singapore) Pte. Ltd. (collectively “Evergreen”), HMM Company Limited (“HMM”), Maersk A/S (“Maersk”), CMA CGM S.A.

Complaint, and for Partial Dismissal filed by MSC, HMM, and Wan Hai (Dkt. Nos. 25, 26, 27, all of which seek similar relief to COSCO's Motion to Sever.

² While there is no Commission Rule regarding severance of pleadings, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. Further, Commission Rule 74 provides that: “Commission or the Chief Administrative Law Judge (or designee) may order two or more proceedings which involve substantially the same issues consolidated and heard together.” Thus, it would follow that the Commission may order two or more proceedings which do **not** involve substantially the same issued to be separated.

(“CMA CGM”), Apex Maritime Co, Inc. (“Apex”), China United Transport, Inc. (“CU”), COSCO, and Wan Hai Lines Ltd. (“Wan Hai”). There is, however, no cause of action asserting any joint action by these entities or of any joint and several liability of the Respondents.

In fact, the small amount of damages claimed against COSCO (\$17,000) (Complaint ¶ 167) make this case a good fit for the Commission’s streamlined small claims process in 46 C.F.R. 502.301-502.305. (<https://www.fmc.gov/filing-a-small-claims-complaint/>). Bundling this claim with many other larger unrelated claims against other parties will only have the effect of unnecessarily exposing COSCO to defense fees that will quickly eclipse the size of the claim itself.

II. LEGAL AUTHORITY AND ARGUMENT

Federal Rule of Civil Procedure Rule 21 provides authority to the trial court, either pursuant to motion or on its own, to “sever any claim against any party.” Although Rule 21 is titled “misjoinder and nonjoinder of parties,” severance under Rule 21 is not limited to merely curing the misjoinder of parties. *United States v. O’Neil*, 709 F.2d 361, 369 (5th Cir. 1983); *Henderson v. AT&T Corp.*, 918 F.Supp. 1059, 1065 (S.D. Tex. 1996). Severance creates separate actions and allows a severed claim to proceed as a discrete, independent action for which the court can render a final judgment notwithstanding the continued existence of the original suit. *Hayes v. Miller*, 341 Fed.Appx. 969, 970 (5th Cir.2009); *Allied Elevator, Inc. v. E.Tex. State Bank*, 965 F.2d 34, 36 (5th Cir. 1992); *O’Neil*, 709 F.2d at 368.

A. Grounds for Severance

The decision whether to grant a severance motion is committed to the sound discretion of the trial court (and, by analogy, the Presiding Officer). *State of N.Y. v. Hendrickson Bros., Inc.*, 840 F.2d 1065, 1082 (2d Cir. 1988); *Wausau Bus. Ins. Co. v. Turner Constr. Co.*, 204 F.R.D. 248, 250 (S.D.N.Y. 2001); *Anderson v. Red River Waterway Commission*, 231 F.3d 211, 214 (5th

Cir.2000). “Courts may order a Rule 21 severance when it will serve the ends of justice and further the prompt and efficient disposition of litigation.” *T.S.I. 27, Inc. v. Berman Enters., Inc.*, 115 F.R.D. 252, 254 (S.D.N.Y. 1987); *see also In re Methyl Tertiary Butyl Ether Prods. Liab. Litig.*, 247 F.R.D. 420, 427 (S.D.N.Y. 2007).

While the question of whether it should sever claims is within the broad discretion of the trial court under Rule 21, in making its decision, a trier of fact must consider the following questions derived from Rule 20(a) regarding the proper joinder of parties:

- 1) whether the claims arise out of the same transaction or occurrence;
- 2) whether the claims present some common questions of law or fact;
- 3) whether settlement of the claims or judicial economy would be facilitated;
- 4) whether prejudice would be avoided if severance were granted; and
- 5) whether different witnesses and documentary proof are required for the separate claims.

Erausquin v. Notz, Stucki Mgmt. (Berm.), 806 F. Supp. 2d 712 (S.D.N.Y. 2011); *Disparte v. Corp. Exec. Bd.*, 223 F.R.D. 7 (D.D.C. 2004); *Morris v. Northrop Grumman Corp.*, 37 F. Supp. 2d 556, 580 (E.D.N.Y. 1999).

While there does not appear to be any direct Commission precedent regarding severance of claims, it is also true that cases against multiple ocean carriers filed before the Commission are generally filed separately with respect to separate respondents.³ And in Docket 22-14, filed by a

³ For example, in recent years counsel for Complainant has represented complainants that have commenced separate actions against separate ocean carrier respondents in a number of instances. *See, e.g., TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*, Docket 24-10 (2024), *TZ SSE Buyer, LLC v. COSCO Shipping Lines Co., Ltd.*, Docket 24-09 (2024), and *TZ SSE Buyer, LLC v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, Docket 24-08 (2024)); and *20230930-DK-Butterfly-1, Inc. v. BAL Container Line Co., Limited*, Docket 25-01 (2025), *20230930-DK-BUTTERFLY-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Evergreen Line Joint Service Agreement (FMC #011982) consisting of Evergreen Marine Corp. (Taiwan) Ltd.; Evergreen*

single complainant against two separate ocean carriers, the respondents raised the problems associated with litigating two separate cases of alleged failure to meet service contract obligations in a single proceeding, which complainant resolved by filing two separate complaints (Dockets 22-20 and 22-21). Further, guidance can be gleaned from cases requiring individual identification of parties. As explained in *Ocean Network Express Pte. Ltd. and Ocean Network Express (North America) Inc. - Possible Violations Of 46 U.S.C. § 41102(c)*, Docket No. 21-17 (Order dated March 28, 2022), each respondent in a case involving multiple respondents is entitled to know precisely what is being alleged as to it. There, the Presiding Officer summarized:

“Due process requires that persons charged with unlawful conduct be given prior notice of the charges and an opportunity to be heard in defense before the government can take enforcement action.’ *Soule Glass & Glazing Co. v. NLRB*, 652 F.2d 1055, 1073 (1st Cir. 1981). Pursuant to the Administrative Procedures Act, in an administrative adjudication, the respondent is entitled to notice of “the matters of fact and law asserted.” 5 USC § 554(b). The decision in *Holt Cargo* was predicated on the respondents’ due process rights, and supports the arguments made in the motion. Each entity named as a respondent in a proceeding has the right to understand what allegations are being made against it.”

The Presiding Officer’s Order discussed above cited to and followed a similar order issued in *Holt Cargo Systems, Inc. v. Delaware River Port Authority*, 22 SRR 1582 (“ALJ Order Requiring that each Complainant Individually be Identified with each Claim or Allegation” 2000), where the Presiding Officer required that the individual Complainants (there were three) be identified with respect to each claim or allegation that any of the Complainants made against Respondents.

Marine (UK) Limited; Italia Marittima SpA; Evergreen Marine (Hong Kong) Ltd.; and Evergreen Marine (Singapore) Pte. Ltd., Docket 24-12 (2024), *20230930-DK-Butterfly-1, Inc. v. MSC Mediterranean Shipping Company SA*, Docket 23-12 (2023), and *20230930-DK-Butterfly-1, Inc. f/k/a Bed, Bath & Beyond Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, Docket 23-02 (2023).

Here, COSCO requests the Commission do more than require individual treatment in future pleadings in line with case law pursuant to Federal Rules of Civil Procedure 20 and 21.

B. Application of Case Law to the Complaint

Application of the five factors discussed in the preceding legal analysis reveals that all five factors support severance:

1) *Whether the claims arise out of the same transaction or occurrence.*

They do not. Complainant has not alleged any specific transaction or occurrence that is common among all Respondents. Rather, the alleged claims appear to span several years, and involve the Ports of Los Angeles, Long Beach, Oakland, New York and New Jersey, Savannah, Houston, Seattle and Tacoma. Respondent carriers would have carried Complainant's goods on different vessels at different times, to and from different ports.

The only allegations that come close to the "same transaction, occurrence, or series of transactions or occurrences" is that Complainant alleges, without specificity, that respondents may have participated in global shipping alliances and therefore that they "engaged in concerted, coordinated, and/or parallel activity to restrict capacity in order to avoid taking volume from one another and to keep prices high." (Complaint at ¶ 62). However, throughout the Complaint section entitled "Concerted, Coordinated, and/or Parallel Activity of Respondents" (Complaint at ¶¶ 62-72), Complainant does not make any specific or particular claims, but rather makes note of the existence of the alliances as if that means the Respondents are acting in concert. Even if participation in the alliances in question constituted the "same transaction or occurrence" (which COSCO denies), Complainant has identified three different alliances, meaning all five Respondents are not even alleged to have acted together.

2) *Whether the claims present some common questions of law or fact.*

Undoubtedly there will be some common questions of law that cut across some of the claims. It is true that all of the claims will have to be judged against the same series of federal regulations. However, there are different regulations at issue, and the facts against which those various regulations will have to be interpreted will be different with respect to each Respondent. There is nothing to be gained by combining all of those different factual and legal debates.

In particular, several claims against other Respondents revolve around disputed issues of contract performance, which likely will be complex and contentious; however, with regard to COSCO there are no service contract compliance issues, and no allegation that Complainant had any contract with COSCO at all.

3) *Whether settlement of the claims or judicial economy would be facilitated.*

Severance of these claims would clearly aid the Commission and promote judicial economy. By separating the omnibus action into individual claims, they become far more manageable for pleadings, discovery, and trial. Severance of the claims also will avoid unnecessary confusion with respect to the various allegations.

4) *Whether prejudice would be avoided if severance were granted.*

Yes. Respondents are prejudiced in time and cost by having to read and respond to claims that are wholly unrelated to whatever claims Complainant has against each. By requiring Complainant to proceed separately against each carrier, the problem is completely solved.

Conjoining what should proceed as at least ten separate cases raises a number procedural and logistical issues. In answering the Complaint, for example, COSCO was required to answer almost every allegation multiple times – one as to COSCO and then an “insufficient information” answer as to the other carriers.

There may also be differences between the schedule appropriate for one Respondent versus

the others. Additional issues of this sort will likely arise if the case proceeds as filed – e.g., what happens if counsel for one Respondent needs an extension, but counsel for the other Respondents do not. Those may be raised, if necessary, as they arise, but COSCO is of the view that such issues could be avoided at this early stage by severing the cases and requiring Complainant to proceed individually against each Respondent as is standard practice.

Severance will avoid the substantial prejudice of having multiple parties in attendance at each deposition to hear testimony of one party's witness(es) wholly unrelated to the claims pertaining to the other Respondents. The time and expenses incurred will be enormous if this case is not severed.

5) *Whether different witnesses and documentary proof are required for the separate claims.*

Yes. But for vague references to alliances in which some of the Respondents participate (and which also include a number of entities that are not respondents in this action), there would not be one bit of evidence overlapping from one claim to another. All of the witnesses, and all of the documentary evidence would be completely different and separate for each of Complainant's claims. Factually, there is no connection between the charges by one carrier and any other.

In sum, the factors employed to evaluate motions to sever all weigh in favor of severing these actions into distinct and separate dockets.

CONCLUSION

For the reasons set forth above, Respondent COSCO respectfully requests the Presiding Officer sever Complainant's claims as against COSCO into a distinct action, so as to allow it to proceed separately.

Dated: February 27, 2025

Respectfully submitted,

/s/ Matthew Thomas

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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was served to all counsel of record in the above-captioned action by email on this 27th Day of February, 2025.

/s/ Emma C. Jones

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